



LESSON SIX

# DOM ABSORPTION AND STACKING

The two ladder behaviours that make entries: absorption, the institutional trap, and pulling and stacking, the difference between intent and fluff.

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Ether, the free side of Ethos

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This guide pairs with the video. [Watch it](#) for the live walkthrough, keep this next to the charts.



# Absorption, the trap

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Lesson 5 gave you the ladder. This lesson gives you the two behaviours on it that actually make entries: absorption, and pulling and stacking.

**Absorption is a trap. Retail attacks a level, institutions feed on the attack.**

## HOW THE TRAP WORKS

Lots of retail traders buy at a key resistance, an old high, expecting the breakout. Big institutions use exactly those buy orders to sell into. The big side has more power, price drops quickly, and the retail buyers are left stuck in losing positions.

## THE SIGNATURE

Big market orders hitting your level that do not push price through it. The aggression arrives, the level eats it, price reverses. That is absorption, and it is one of the highest quality triggers on the ladder.



# Trading absorption, step by step

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The step plan, exactly as it runs at the screen.



## Mark your levels first

Shelves, ledges, value edges, old highs and lows. Absorption only means something at a level worth defending.



## Reset the DOM before price arrives

Clear the counts so what you are reading is only the fight at the level, not an hour of noise.



## Read the fake break

The DOM shows heavy opposing orders, it looks like your level is about to break. If price rejects fast and moves your way instead, that was institutions absorbing the retail orders. That is the entry.



## Watch the market orders, not the limits

The middle column is the truth, the aggressive prints. Limit orders are intentions, market orders are actions.



## Remember it can spread

Absorption is not always one price. 300 buy orders can get eaten across 3 ticks. Watch the zone, not just the single tick.



# Pulling and stacking

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The passive side of the ladder plays its own game, and it has two moves.

## STACKING

Traders keep adding limit buys on the bid, or limit sells on the ask. Bids stacking while bid delta rises looks like strong buy support. Asks stacking while ask delta rises looks like strong sell pressure.

## PULLING

Those stacked orders get removed before price ever trades there. Bids pulling while bid delta is positive means buyers just lost their support, price can drop. Asks pulling while ask delta is negative means sellers lost their pressure, price can rise.

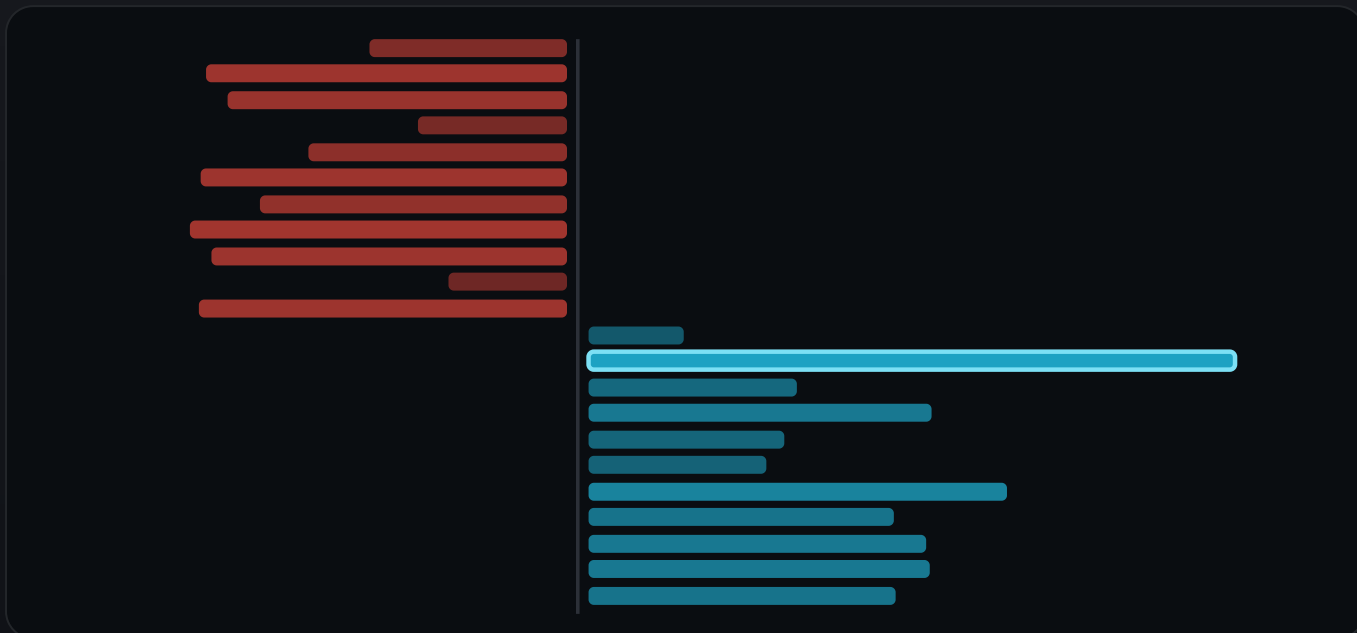
**Stacking shows intent. Pulling shows fluff. Delta confirms who is actually aggressive.**

## CREDIT WHERE DUE

For a prime live example of absorption with pulling and stacking, watch [Claudio's video](#). Seeing it move in real time is worth ten pages of theory.



# The read at the level



Absorption on the ladder: aggressive sellers hit the bid, the level (highlighted) refuses to break and reloads, price reverses up.



## Aggression into the level, no follow-through

The absorption tell. Someone bigger is on the other side of the attack.



## Stacked size that stays

Real defence. Stacked size that vanishes as price approaches was never real.



## Delta agrees with the read

Positive delta with no upward progress means trapped buyers. That is fuel for the other direction.



# Absorption vs exhaustion

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Absorption has a close cousin that traders confuse it with constantly. Knowing the difference is the whole edge, because they point opposite ways.

## ABSORPTION

A passive giant soaks up aggression at a level and holds it. Heavy volume trades, price does not move, the aggressive side gets trapped. It signals a reversal, someone wanted every contract at that price.

## EXHAUSTION

The aggressive side simply runs out. Volume dries up, the pushes get smaller, no big passive player is needed, the move just dies of its own accord. It signals a pause or a fade, not necessarily a hard reversal.

Stopping volume is the extreme version: a single burst of huge volume that halts a trend dead. It is absorption at its most violent, the last aggressive push meeting a wall, and it often marks the turn.

## HOW TO TELL THEM APART

Watch the volume as price stalls. Big volume with no movement is absorption, someone is there. Shrinking volume with no movement is exhaustion, nobody is left. Absorption reverses harder, exhaustion drifts.





# Now read the fight.

You can now see the trap forming instead of walking into it. Inside Ethos, the mentorship, the KG models trade these triggers live, three sessions a week.



## **Levels first, always**

Absorption at a random price means nothing. At your level it is the trigger.



## **Market orders are the truth**

The middle column decides. Limits are only intentions.



## **Stacking is intent, pulling is fluff**

And delta is the referee.

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